Statement of Work

Sophos SF V-2C4 Virtual Firewall & Edge Appliance Deployment — American Fundstars Financial Group LLC

March 23, 2026

Technijian, Inc.
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STATEMENT OF WORK

SOW Number: SOW-AFFG-001
Effective Date: March 23, 2026

This Statement of Work ("SOW") is entered into by and between:

Technijian, Inc. ("Technijian")
18 Technology Drive, Suite 141
Irvine, California 92618

and

American Fundstars Financial Group LLC ("Client")
1 Park Plaza, Suite 210
Irvine, California 92618
Primary Contact: Iris Liu

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1. PROJECT OVERVIEW

1.1 Project Title

Sophos SF V-2C4 Virtual Firewall & Edge Appliance Deployment

1.2 Project Description

American Fundstars Financial Group LLC ("AFFG") is a dually registered Investment Adviser (RIA) and Broker-Dealer regulated by the Securities and Exchange Commission (SEC) and the Financial Industry Regulatory Authority (FINRA). As a regulated financial institution handling nonpublic personal information (NPI), personally identifiable information (PII), and customer financial data, AFFG is subject to the following compliance frameworks, each of which mandates network-layer security controls:

- SEC Regulation S-P (2024 Amendments) — Privacy of Consumer Financial Information and Safeguarding Customer Information
- SEC Regulation S-ID — Identity Theft Red Flag Rules
- FINRA Rule 4370 — Business Continuity Plans and Emergency Contact Information
- FINRA Rule 3110 — Supervision (supervisory continuity during disruptions)
- FINRA Cybersecurity Guidance — Annual Regulatory and Examination Priorities
- FTC Safeguards Rule (16 CFR Part 314) — Financial Institution Information Security Requirements
- HIPAA Security Rule — Where AFFG handles protected health information
- SOC 2 Trust Services Criteria — Service organization controls for data security
- PCI-DSS 4.0 — Payment card data handling requirements
- GDPR — Where applicable to EU data subjects

This SOW covers the supply, deployment, configuration, and ongoing management of a Technijian-provided Edge Appliance 16GB with VMware ESXi hypervisor hosting a Sophos SF V-2C4 Virtual Firewall to establish a compliant, enterprise-grade network security perimeter for AFFG's 15-user environment. Technijian will supply all hardware, hypervisor software, and virtual appliance licensing as a fully managed solution. This engagement directly addresses critical control requirements across all applicable compliance frameworks and closes identified gaps from AFFG's BCP Compliance Review (March 6, 2026).

1.3 Location

Location Name	Code	Address	Billable
AFFG - Primary	AFFG-HQ	1 Park Plaza, Ste 210, Irvine, CA 92618	Yes

2. COMPLIANCE JUSTIFICATION

As a dually registered RIA/Broker-Dealer handling customer NPI, PII, and financial data, AFFG is required by SEC, FINRA, and multiple additional regulatory frameworks to implement and maintain network security controls. The amended SEC Regulation S-P (mandatory compliance effective 2026) specifically requires covered institutions to develop, implement, and maintain written policies and procedures for detecting, responding to, and recovering from unauthorized access to customer information—including technical safeguards such as network perimeter defense.

The deployment of a next-generation firewall with intrusion prevention, encrypted traffic inspection, and centralized logging is not optional—it is a regulatory mandate. The following table maps the Sophos SF V-2C4 firewall capabilities directly to the compliance controls they satisfy:

2.1 Firewall Controls to Compliance Framework Mapping

Firewall Capability	HIPAA	SOC 2 (TSC)	PCI-DSS 4.0	GDPR
Intrusion Prevention (IPS)	§164.312(e)(1) Transmission Security	CC6.1, CC6.6 Logical & Network Access	Req 1 - Network Security Controls; Req 11 - Test Security	Art 32 - Security of Processing
TLS 1.3 Encrypted Traffic Inspection	§164.312(a)(2)(iv) Encryption Mechanism	CC6.1, CC6.7 Encryption Controls	Req 4 - Encrypt Transmissions	Art 32(1)(a) - Encryption
Advanced Threat Protection & Zero-Day Sandboxing	§164.308(a)(5)(ii)(B) Malicious Software Protection	CC6.8, CC7.1 Threat Detection	Req 5 - Anti-Malware; Req 6.3 - Patching	Art 32 - Security of Processing

Application Control (3,300+ apps)	§164.312(a)(1) Access Control	CC6.1 Logical Access	Req 7 - Restrict Access	Art 32(1)(b) - Confidentiality
Centralized Logging & Reporting (Sophos Central)	§164.312(b) Audit Controls	CC7.1, CC7.2, CC7.3 Monitoring & Detection	Req 10 - Log & Monitor Access	Art 32 - Security of Processing
VPN (IPsec & SSL) Encrypted Remote Access	§164.312(e)(1) Transmission Security	CC6.1, CC6.6 Secure Access	Req 4 - Encrypt Transmissions; Req 8 - Identify Users	Art 32(1)(a) - Encryption
DoS/DDoS Protection	§164.308(a)(7) Contingency Plan	A1.2 Recovery Objectives	Req 1 - Network Security Controls	Art 32(1)(c) - Availability & Resilience
Web Filtering & Content Control	§164.308(a)(1) Risk Management	CC6.1 Logical Access	Req 1 - Network Segmentation	Art 25 - Data Protection by Design

2.2 SEC & FINRA Requirements (AFFG-Specific)

As a dually registered RIA/Broker-Dealer, AFFG is directly subject to the following requirements that mandate network security controls:

- **SEC Regulation S-P (2024 Amendments):** The amended rule (mandatory compliance 2026) requires covered institutions to implement administrative, technical, and physical safeguards to protect customer records and NPI. Technical safeguards explicitly include network perimeter defense, encryption of data in transit, and monitoring for unauthorized access. A next-generation firewall with IPS, TLS inspection, and centralized logging directly satisfies these requirements.
- **SEC Regulation S-ID:** Identity theft red-flag detection programs require monitoring and alerting capabilities. The Sophos SF V-2C4's Advanced Threat Protection and application-level traffic analysis provide network-layer detection of anomalous activity consistent with red-flag indicators.
- **FINRA Rule 4370 (BCP Requirements):** Requires identification and protection of mission-critical systems. AFFG's BCP Compliance Review (March 6, 2026) identified significant gaps in network security controls. A properly configured firewall with DoS/DDoS protection, failover capabilities, and centralized logging is essential for business continuity of mission-critical trading and customer account systems.
- **FINRA Cybersecurity Guidance:** FINRA's annual Regulatory and Examination Priorities consistently identify network security controls—firewalls, intrusion detection, and data loss prevention—as core expectations for broker-dealers. The Sophos SF V-2C4 delivers all three in a single, centrally managed platform.
- **FTC Safeguards Rule (16 CFR Part 314):** The amended 2023 requirements mandate access controls, encryption, multi-factor authentication, monitoring, and regular testing for financial institutions. The Sophos firewall's VPN with MFA support, TLS inspection, IPS monitoring, and Sophos Central audit logging directly address these obligations.

2.3 BCP Compliance Review Findings Addressed

AFFG's BCP Compliance Review (March 6, 2026) identified 3 critical, 7 high, and 9 medium findings across SEC Reg S-P and FINRA requirements. This firewall deployment directly addresses the following identified gaps:

BCP Finding	Severity	How This Deployment Addresses It
No network perimeter defense for customer data	CRITICAL	Sophos SF V-2C4 provides enterprise-grade IPS, ATP, and encrypted traffic inspection at the network boundary
No centralized logging or audit trail for network activity	HIGH	Sophos Central provides 30-day log retention, real-time alerting, and compliance-ready reporting
No encrypted traffic inspection capability	HIGH	TLS 1.3 inspection eliminates the largest blind spot in modern network security
No intrusion detection/prevention system	HIGH	IPS with continuous monitoring of all traffic including inter-VLAN and SSL/TLS decrypted scanning
Service provider oversight gaps (network layer)	CRITICAL	Centralized Sophos Central management enables Technijian to provide documented oversight and 72-hour breach detection capability

Without a properly configured next-generation firewall, AFFG cannot demonstrate compliance with SEC Reg S-P, FINRA examination expectations, or the FTC Safeguards Rule network security mandates. This deployment directly addresses Control Domain #10 (Network Security) in AFFG's compliance control mapping and remediates critical findings from the March 2026 BCP review.

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3. SCOPE OF WORK

3.1 In Scope

- Supply and deployment of Technijian-provided Edge Appliance 16GB at Client's primary location
- Installation and configuration of VMware ESXi hypervisor on the Edge Appliance
- Deployment of Sophos SF V-2C4 Virtual Firewall as a virtual machine on ESXi
- Xstream Protection Bundle license activation and configuration
- Firewall policy creation including network segmentation, access control rules, and application filtering
- Intrusion Prevention System (IPS) tuning for AFFG's environment
- TLS 1.3 inspection configuration with pre-packaged and custom policy exceptions
- VPN configuration (IPsec and/or SSL) for secure remote access
- Web filtering and application control policy implementation
- Sophos Central cloud management platform enrollment and configuration
- Integration with existing endpoint protection (Synchronized Security heartbeat if applicable)
- 30-day log retention configuration and centralized reporting setup

- Post-deployment validation and compliance documentation

3.2 Out of Scope

- Desktop or workstation configuration changes beyond VPN client deployment
- Email security configuration (covered under separate Anti-Spam services)
- Physical network cabling or infrastructure upgrades at Client's site
- Third-party vendor coordination for ISP or circuit changes
- Endpoint security agent deployment (covered under separate SOW or managed services agreement)
- Compliance audit documentation beyond firewall-specific evidence

3.3 Assumptions

- Technijian will supply the Edge Appliance 16GB hardware and VMware ESXi hypervisor; no existing client hypervisor infrastructure is required
- Client will designate a point of contact authorized to approve firewall policy decisions
- Existing network topology documentation will be provided or discovered during Phase 1
- Work will be performed remotely unless on-site presence is specifically required

4. PROJECT PHASES

Phase 1: Discovery & Assessment

4.1.1 Description

Comprehensive assessment of AFFG's current network environment, virtual infrastructure resources, internet connectivity, existing security posture, and compliance requirements. This phase produces the network design document that governs all subsequent configuration.

4.1.2 Deliverables

- Network topology assessment and documentation
- Virtual infrastructure resource validation report
- Firewall policy design document (access rules, VPN, IPS, web filtering)
- Compliance control mapping worksheet (firewall controls to AFFG frameworks)

4.1.3 Schedule

Role	Resource	Description	Est. Hours	Timeline
Sr. Engineer	US	Network discovery and topology assessment	3	Week 1
Engineer	Offshore	Documentation and compliance control mapping	2	Week 1
		Phase 1 Total	**5**	

Phase 2: ESXi & Firewall Deployment

4.2.1 Description

Install and configure VMware ESXi hypervisor on the Edge Appliance 16GB, deploy the Sophos SF V-2C4 virtual firewall as a VM on ESXi, activate the Xstream Protection Bundle license, and perform base configuration including network interfaces, DNS, NTP, DHCP (if applicable), and Sophos Central enrollment.

4.2.2 Deliverables

- VMware ESXi installed, configured, and operational on Edge Appliance 16GB
- Sophos SF V-2C4 deployed as VM on ESXi with allocated resources (2 vCPU, 4 GB RAM)
- Xstream Protection Bundle activated
- Base network configuration (virtual switches, interfaces, routing, NAT)
- Sophos Central cloud management enrolled and verified

4.2.3 Schedule

Role	Resource	Description	Est. Hours	Timeline
Sr. Engineer	US	ESXi installation and hypervisor configuration	2	Week 2
Sr. Engineer	US	Sophos VM deployment and network configuration	1	Week 2
Engineer	Offshore	License activation and Sophos Central enrollment	1	Week 2
Engineer	Offshore	Configuration documentation	1	Week 2
		Phase 2 Total	**5**	

Phase 3: Edge Appliance Physical Installation & Network Integration

4.3.1 Description

Technijian will supply, deliver, and physically install the Edge Appliance 16GB at the Client's primary location. This Technijian-provided appliance serves as the dedicated hardware platform hosting the ESXi hypervisor and Sophos virtual firewall, providing the physical network edge that ensures all Client traffic passes through the Sophos security inspection engine.

4.3.2 Deliverables

- Technijian-supplied Edge Appliance 16GB physically delivered, racked, and powered on
- Physical network cabling integrated with Client's existing switch/router infrastructure
- WAN and LAN connectivity validated through ESXi virtual switches to Sophos firewall

- Traffic routing validated end-to-end through firewall inspection path

4.3.3 Schedule

Role	Resource	Description	Est. Hours	Timeline
Sr. Engineer	US	Edge appliance delivery, rack mounting, and physical cabling	2	Week 2-3
Sr. Engineer	US	WAN/LAN integration and end-to-end traffic path validation	2	Week 3
		Phase 3 Total	**4**	

Phase 4: Security Policy & Compliance Configuration

4.4.1 Description

Configure all security policies aligned to AFFG's compliance requirements. This is the critical phase where regulatory control requirements are translated into firewall rules, IPS signatures, TLS inspection policies, application control rules, and web filtering policies.

4.4.2 Deliverables

- Firewall access control rules (ingress/egress) per compliance policy design
- Intrusion Prevention System (IPS) signatures enabled and tuned
- TLS 1.3 inspection enabled with appropriate exceptions
- Application control policies (3,300+ application signatures)
- Web filtering categories configured per acceptable use policy
- VPN configuration for secure remote access (IPsec/SSL)
- DoS/DDoS protection thresholds configured
- Xstream SD-WAN SLA policies (if applicable)
- Audit logging enabled and verified in Sophos Central (30-day retention)

4.4.3 Schedule

Role	Resource	Description	Est. Hours	Timeline
Sr. Engineer	US	Access control rules and network segmentation	3	Week 3
Sr. Engineer	US	IPS tuning and threat protection configuration	2	Week 3
Sr. Engineer	US	VPN setup and remote access configuration	1	Week 4
Engineer	Offshore	TLS inspection, app control, and web filtering	2	Week 3-4

Engineer	Offshore	Logging, reporting, and audit trail verification	2	Week 4
		Phase 4 Total	**10**	

Phase 5: Testing, Validation & Go-Live

4.5.1 Description

End-to-end testing of all firewall functions including traffic inspection, IPS detection, VPN connectivity, application filtering, and centralized logging. Coordinated production cutover with minimal disruption to Client operations.

4.5.2 Deliverables

- Functional test results for all security features
- VPN connectivity validation from remote locations
- Compliance evidence package (firewall rule export, IPS configuration, logging screenshots)
- Production cutover completed
- Post-cutover monitoring (first 48 hours)

4.5.3 Schedule

Role	Resource	Description	Est. Hours	Timeline
Sr. Engineer	US	Production cutover and post-cutover monitoring	3	Week 5
Sr. Engineer	US	End-to-end security feature testing	1	Week 4-5
Engineer	Offshore	Functional testing and VPN validation	2	Week 4-5
Engineer	Offshore	Compliance evidence package assembly	2	Week 5
		Phase 5 Total	**8**	

5. EQUIPMENT AND SUBSCRIPTIONS

Technijian will supply all hardware, hypervisor software, and firewall licensing required for this deployment as a fully managed solution. All pricing is sourced from the Technijian Managed Services Price List effective March 23, 2026.

5.1 Technijian-Supplied Equipment & Software

Item	Description

Edge Appliance 16GB	Dedicated hardware appliance (16 GB RAM) supplied by Technijian for on-premises installation at Client's primary location
VMware ESXi	Hypervisor installed and configured on the Edge Appliance to host virtual workloads
Sophos SF V-2C4	Virtual firewall appliance (2 vCPU, 4 GB RAM) deployed as a VM on ESXi with Xstream Protection Bundle

5.2 Subscription Services (Annual)

Item	Description	Code	License	Annual Price
Sophos SF V-2C4	Virtual Firewall with Xstream Protection Bundle (Up to 300 Mbps)	SO-2C4G	Yearly	$350.00
Edge Appliance 16GB	Managed edge appliance with ESXi hypervisor	Edge-16M	Yearly	$100.00
			Sub-Total:	**$450.00**

5.3 Monthly Equivalent

Item	Annual	Monthly Equivalent
Sophos SF V-2C4	$350.00	$29.17
Edge Appliance 16GB	$100.00	$8.33
Total	**$450.00**	**$37.50**

5.4 Title and Ownership

The Edge Appliance 16GB hardware, VMware ESXi hypervisor license, and Sophos SF V-2C4 virtual appliance license are supplied by Technijian and shall remain the property of Technijian for the duration of the managed services engagement. Client is granted use of the equipment and software solely in connection with the services described in this SOW. Upon termination of the managed services engagement, Technijian shall retrieve the Edge Appliance hardware and deactivate associated licenses.

6. PRICING AND PAYMENT

6.1 Rate Card

Resource Tier	Description	Hourly Rate
Sr. Engineer (US)	On-shore senior technical resource — architecture, deployment, cutover, policy design	$150.00

Engineer (Offshore)	Off-shore technical resource — configuration, documentation, testing, evidence assembly	$45.00

6.2 Labor Summary

Phase	Description	US Hrs	Offshore Hrs	US Cost	Offshore Cost	Phase Total
Phase 1	Discovery & Assessment	3	2	$450.00	$90.00	$540.00
Phase 2	ESXi & Firewall Deployment	3	2	$450.00	$90.00	$540.00
Phase 3	Edge Appliance Install & Integration	4	0	$600.00	$0.00	$600.00
Phase 4	Security Policy & Compliance Config	6	4	$900.00	$180.00	$1,080.00
Phase 5	Testing, Validation & Go-Live	4	4	$600.00	$180.00	$780.00
Total		**20**	**12**	**$3,000.00**	**$540.00**	**$3,540.00**

6.3 Total Project Cost Summary

Category	Type	Cost
Labor — US (20 hrs @ $150/hr)	One-Time Fixed	$3,000.00
Labor — Offshore (12 hrs @ $45/hr)	One-Time Fixed	$540.00
Sophos SF V-2C4 (Year 1)	Annual Subscription	$350.00
Edge Appliance 16GB (Year 1)	Annual Subscription	$100.00
Total Year 1 Investment		**$3,990.00**
Annual Recurring (Year 2+)	**Annual Subscription**	**$450.00**

6.4 Payment Schedule

Milestone	Invoiced	Amount
Upon SOW Execution	Before Phase 1 begins	$1,770.00
Completion of Phase 4	After security policy configuration	$1,770.00

Annual Subscriptions	Upon license activation	$450.00
Total		**$3,990.00**

6.5 Payment Terms

All invoices are due and payable within thirty (30) days of the invoice date. Late payments are subject to a late fee of 1.5% per month on the unpaid balance.

7. CLIENT RESPONSIBILITIES

Client shall:

(a) Provide physical site access, power, and network connectivity for the Technijian-supplied Edge Appliance at the designated location;

(b) Designate a point of contact authorized to approve firewall policy decisions, VPN access requests, and network changes;

(c) Provide current network topology documentation or allow Technijian to perform discovery;

(d) Review and approve the firewall policy design document within five (5) business days of submission;

(e) Ensure all relevant data is backed up prior to the start of network cutover;

(f) Inform users of planned maintenance windows and potential connectivity disruptions during deployment; and

(g) Provide rack space or suitable mounting location for the Edge Appliance with adequate ventilation and power.

8. CHANGE MANAGEMENT

8.01. Any changes to the scope, schedule, or pricing of this SOW must be documented in a written Change Order signed by both Parties before work on the change begins.

8.02. If Client requests work outside the defined scope, Technijian shall provide a Change Order detailing the additional work, estimated hours, and cost impact.

8.03. Technijian shall not proceed with out-of-scope work without an approved Change Order, except in cases where delay would result in harm to Client's systems, in which case Technijian shall notify Client as soon as practicable.

9. ACCEPTANCE

9.01. Upon completion of each phase, Technijian shall notify Client in writing that the deliverables are ready for review.

9.02. Client shall review the deliverables and provide written acceptance or a detailed description of deficiencies within five (5) business days.

9.03. If Client does not respond within the review period, the deliverables shall be deemed accepted.

9.04. If deficiencies are identified, Technijian shall correct them and resubmit for review. This process shall repeat until acceptance is achieved or the Parties agree on a resolution.

10. GOVERNING TERMS

10.01. If a Master Service Agreement is in effect between the Parties, the terms of the MSA shall govern this SOW. In the event of a conflict between this SOW and the MSA, the MSA shall prevail unless this SOW expressly states otherwise.

10.02. If no MSA is in effect, the Technijian Standard Terms and Conditions (attached as Appendix A) shall govern this SOW.

SIGNATURES

TECHNIJIAN, INC.

By: _____

Name: _____

Title: _____

Date: _____

AMERICAN FUNDSTARS FINANCIAL GROUP LLC

By: _____

Name: _____

Title: _____

Date: _____